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EARNINGS CALL TRANSCRIPT

Bloom Energy (BE) Q4 2025 Earnings Call Transcript

By Motley Fool Transcribing (/author/20032/) – Feb 5, 2026 at 6:32PM EST

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DATE

Thursday, February 5, 2026 at 5 p.m. ET

CALL PARTICIPANTS

- Founder, Chairman, and Chief Executive Officer — KR Sridhar
- Acting Principal Financial Officer and Principal Accounting Officer — Maciej Kurzymski
- Vice President, Investor Relations — Michael Tierney

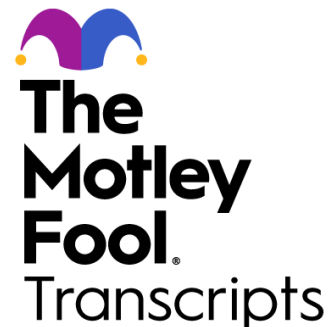


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TAKEAWAYS

- **Revenue** -- \$777.7 million for the quarter, representing 35.9% growth year over year.
- **Full-Year Revenue** -- \$2 billion, up 37.3% from 2024.
- **Quarterly Gross Margin** -- 31.9%, down from 39.3% in 2024, due to project mix variability.
- **Quarterly Non-GAAP Operating Income** -- \$133 million compared to \$133.4 million in Q4 2024.
- **Quarterly Non-GAAP Adjusted EBITDA** -- \$146.1 million versus \$147.3 million in Q4 2024.
- **Non-GAAP EPS** -- \$0.45, compared to \$0.43 a year ago.
- **Product Margins** -- 37% for the quarter.
- **Service Margins** -- Approximately 20% for the quarter, with service profitable for eight consecutive quarters.
- **Product Backlog** -- Increased 140% year over year to about \$6 billion.
- **Service Backlog** -- Approximately \$14 billion, with 100% attach rate from product backlog.
- **C&I Backlog Growth** -- Grew over 135% compared to the prior year.
- **Geographic Backlog Shift** -- Over 80% of US backlog is now from states outside California and the Northeast, indicating expansion into lower-cost states.
- **Balance Sheet Cash** -- \$2.5 billion at quarter end, boosted by convertible bonds.
- **Inventory** -- Closed at \$643 million, slightly higher than planned.
- **Operating Cash Flow** -- Inflow of \$113.9 million for the quarter.
- **Capital Expenditures** -- \$57 million in the quarter.

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- **2026 Revenue Guidance** -- \$3.1 billion to \$3.3 billion projected by management.
- **2026 Non-GAAP Gross Margin Guidance** -- Approximately 32% expected.
- **2026 Non-GAAP Operating Income Guidance** -- Range of \$125 million to \$475 million projected.
- **2026 Capital Expenditures Guidance** -- \$150 million to \$200 million expected.
- **2026 Operating Cash Flow Guidance** -- Anticipated to approach \$200 million.
- **Backlog Customer Mix** -- Managed to avoid oversized concentration to any single customer, as noted by management.
- **Manufacturing Expansion Model** -- Capacity expansion described as asset-light with "return on invested capital for capacity expansion is a few months."
- **800 Volt DC Platform** -- All servers shipping natively ready for 800 volts DC, supported by backward compatibility.
- **AI and Hyperscale Tailwinds** -- The backlog we reported today includes half a dozen hyperscale and neo cloud end customers, compared to just one a year ago.
- **Service Profitability Trend** -- Eight consecutive quarters of profitability, with fourth quarter reaching 20% service gross margin.
- **Book and Ship Model** -- Significant double-digit percentage of 2025 revenue came from rapid booking, shipping, and deployment.
- **Combined Heat and Power Solutions** -- Deployment of absorption chillers leveraging waste heat is said to cut data center electricity use by at least 20%.
- **AI Load Handling** -- CEO Sridhar stated the system handles rapid AI load swings "without requiring batteries" and views this as a significant product differentiator.
- **International Market Comment** -- Growth opportunity expected to lag the US market due to infrastructure constraints and gas supply limitations, per management's remarks.

SUMMARY

Management delivered explicit guidance for accelerated 2026 revenue and margin expansion following record financial results and a sharp rise in backlog. Explicit plans were articulated for continued capital-light manufacturing expansion to serve surging AI and data center demand, positioning the company as a preferred supplier for mission-critical power. The new 800 volt DC native server platform and absorption chiller capability were highlighted as immediate differentiators responding to structural changes in end-market requirements. Guidance included a wide operating income range reflecting both incremental investment in R&D and commercial activities and large backlog-driven revenue visibility.

- Non-GAAP gross margin rose to 30.3% for the full year, up from 28.7% in 2024.
- Non-GAAP operating profit increased by \$113.4 million, delivering a 20.6% incremental margin on revenue growth for the year.
- CEO Sridhar said, "Over two-thirds of our business year over year comes from repeat customers bringing in multiple repeat orders to us."
- AEP's gigawatt-scale order with Bloom was described as Yes. AEP very clearly said that in their press release, and we reiterated that. That our sale of that product is unconditional. And they will take possession. And, obviously, they wouldn't have accepted that if they didn't believe very strongly that they could get this going. Number one, in terms of that project. But, additionally, here is what you need to know. Right? AEP and us are working on several projects together. And they're great partners of ours. And we expect that our combined business is only gonna grow. So they didn't have any concerns about signing a definitive order with us. Even though they had to go through some formalities on their side. You know, because Bloom's energy servers are not perishable. They can, you know, they can easily put that to use. In multiple other locations that they are potentially considering us for.
- The company is open to selective M&A or strategic partnerships where it directly accelerates their platform, though management emphasized the current addressable market remains expansive.
- Digital twin and AI-driven monitoring were cited as levers for long-term service cost reductions and performance improvements across the installed base.

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INDUSTRY GLOSSARY

- **C&I:** Commercial and Industrial sector customers, including factories, retailers, and large enterprises seeking distributed, on-site power generation.
- **800 Volt DC:** Direct current technology delivering 800 volts natively; now a standard in high-density AI data centers for improved efficiency and reduced conversion requirements.
- **Book and Ship:** Business model where customer orders are quickly fulfilled and deployed, with delivery and commissioning occurring rapidly after booking.
- **Absorption Chiller:** Cooling system technology that utilizes waste heat to drive the refrigeration cycle, reducing electricity consumption compared to traditional vapor compression chillers.

Full Conference Call Transcript

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Michael Tierney: Thank you for joining us for Bloom Energy's fourth quarter and full year 2025 earnings call. To supplement this conference call, we furnished our fourth quarter and full year 2025 earnings press release with the SEC on Form 8-Ks and have posted along with supplemental financial information that we will reference throughout this call to our investor relations website. During this conference call, both in our prepared remarks and in answers to your questions, we may make forward-looking statements that represent our expectations regarding future events, and our future financial performance. These include statements about the company's business results, products, new markets, strategy, financial position, liquidity, and full year outlook for 2026.

These statements are predictions based upon our expectations, estimates, and assumptions. However, as these statements deal with future events, they are subject to numerous known and unknown risks and uncertainties. As discussed in detail in our documents filed with the SEC, including our most recently filed forms 10-K and 10-Q. We assume no obligation to revise any forward-looking statements made on today's call. During this call and in our fourth quarter and full year 2025 earnings press release, we refer to GAAP and non-GAAP financial measures.

The non-GAAP financial measures are not prepared in accordance with US generally accepted accounting principles and are in addition to and not a substitute for or superior to measures of financial performance prepared in accordance with GAAP. A reconciliation between the GAAP and non-GAAP financial measures is included in our fourth quarter and full year 2025 earnings press release available on our Investor Relations website. Joining me on the call today are KR Sridhar, founder, chairman, and chief executive officer and Maciej Kurzynski, our acting principal financial officer and also our principal accounting officer. KR will begin with an overview of our progress, and then Maciej will review financial highlights for the quarter.

After our prepared remarks, we will have time to take your questions. I now turn the call over to KR. Good afternoon, and thank you for joining us today. Bloom is rapidly becoming the standard for on-site power. As evidenced by our excellent fourth quarter capping our best year yet.

KR Sridhar: We delivered record revenue, gross margin, and operating margin for the year. Our product backlog increased 140% year over year to about \$6 billion. Our service business has been profitable for eight quarters in a row, and in the fourth quarter, we achieved 20% gross margin in service. With around \$14 billion of service backlog and a growing product backlog that is 100% attached to service, Bloom is well positioned for durable growth in service revenue and profits in the years ahead. Our growth has been fueled by seismic changes in customer attitude towards power. Bring your own power has become the mantra for data centers and power-hungry factories.

On-site power has moved from being a decision of last resort to a vital business necessity. This shift has led large power users to seek Bloom to fulfill their needs. Our demand from data center and commercial and industrial or C&I customers, is secular and growing. In 2026 we will further invest in our commercial team to capitalize on growing sales opportunity. AI is a huge tailwind for the power industry and a big catalyst for Bloom's growth. The backlog we reported today includes half a dozen hyperscale and neo cloud end customers, compared to just one a year ago.

Bloom has a master contract structure to enable these customers to keep returning to us for

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repeat orders, much as we have expanded with our C&I customers. And we're also experiencing surging demand in our C&I business. C&I backlog grew over 135% year over year. And it consists of several verticals: telecom, manufacturing, logistics, retail, healthcare, and education. Digitization, automation, electrification, and reshoring are driving C&I customers to seek on-site power. And our C&I sales pipeline is stronger than ever. The geographic mix of our US backlog is noteworthy. Two years ago, over 80% of our US backlog was composed of installations in California and the Northeast, traditionally the high cost of power states.

But this year, over 80% of our backlog comes from other states with lower power costs. This geographic shift highlights two important dynamics at play. First, companies are locating factories and data centers in states where they can quickly secure reliable and affordable power, either from the grid or on-site. The states where we are growing fastest have robust natural gas infrastructure and favorable regulatory and policy frameworks for on-site power generation. Second, in these states with lower power costs, Bloom is cost competitive. Our^x value proposition—fast time to power, high reliability, and lower emissions—strongly resonates for our customers. In short, our customer base is diversified with numerous customers in every key sector including AI.

We are rapidly becoming the standard for on-site power. Given our healthy backlog, and our robust funnel, I'm sure your questions will now shift from why we are expanding manufacturing capacity to when we will expand even more. Let me address that with some background. At the core, Bloom is a technology innovator that rapidly delivers cost-competitive platform products at meaningful scale to satisfy customers' current and future needs. We are building solid-state digital power for the digital age. We are not an industrial era energy company. Bloom's manufacturing IP and supply chain diversity enable us to scale without facing the multiyear delivery backlogs plaguing traditional suppliers. Our ability to scale also comes with a high ROI and low-risk profile.

Capacity expansion requires a significantly lower upfront investment—a fraction of what legacy players need. Our return on invested capital for capacity expansion is a few months, not years. This gives us the freedom to expand without predicting market size many years into the future to justify our deployment of capital. The simplicity of our manufacturing

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process is anything but simple. It represents years of innovation, thought, and intellectual property. We have created a differentiated asset-light approach to manufacturing with the control and execution afforded only by in-house production and complemented with a diversified and global supply chain that flexes to meet market demand much like a tech supplier. So my answer to questions on capacity expansion is simple.

The Bloom Energy team reiterates its clear and simple promise to potential customers that have large time-to-power needs. Bloom will not be the bottleneck to your growth. And you can count on us to deliver timely power. We will deliver our power platform faster than you can build your greenfield facilities, be it an AI factory or a C&I facility. We demonstrated this recently by delivering a hyperscale AI factory order in fifty-five days against a ninety-day commitment. And power for a large factory before they could complete construction and commence operation. That is quick time to power. The Bloom Way. In short, we will continue to expand deliberately and with discipline.

At a fraction of the cost and time it'll take traditional legacy vendors. And we will offer our customers quickly deployable power that's reliable, clean, and price competitive to meet their present and future needs. Speaking of future needs, let me address 800 volt DC. First, what is 800 volts DC? And why does it matter? The electric grid turbines, and engines were designed for the electricity loads of the twentieth-century factories and process industries. Large amounts of alternating current or AC power delivered at high voltage, 35,000 to 69,000 volts. Contrast that to the needs of the digital age. Computer chips, devices, and other semiconductor equipment.

Everything digital in our modern world runs on low voltage, direct current, or DC power. The upcoming AI computer racks will consume almost 100 times more power than traditional CPU computer racks of yesteryears. To reduce copper use, increase efficiency, and enhance compute density, AI racks will be architected to receive 800 volts DC. This switch to 800 volts DC is a necessity and not a choice. And will happen at the compute rack level irrespective of whether power is being supplied from an electric grid or on-site power. 800 volts DC will soon be the data center standard because physics requires it.

Any AI data center using grid turbines, or engines will need to install numerous transformers,

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rectifiers, and power conditioning tools to convert high voltage AC to 800 volts DC. This adds significant cost, reduces reliability, and increases emissions. Bloom, and only Bloom, natively produces 800 volts DC today. No Band-Aids, or adapters needed. Starting now, every Bloom server we ship will be 800 volts DC ready. With a removable adapter that allows customers to deploy in legacy AC environments and migrate to DC on their own timeline. This is a compelling future-proofed offering. We also offer to convert any servers we have shipped in the past to 800 volts DC with simple modifications. Highlighting backward compatibility of this new future.

800 volts DC is one of our many innovative apps that integrates seamlessly on our energy platform much like an app installed to a smartphone. We'll continue to make healthy investments in technology advancements this year. And further strengthen our position as the innovative leader in the power sector. While we invest in the future, we'll continue to reduce costs of our core platform, keeping us on a path of anticipated margin accretion, and further increasing our advantage over traditional solutions. We look forward to a strong 2026 as we continue our journey to become the standard for on-site power. A benchmark for speed, reliability, and customer value in the digital age. Over to Maciej now for a financial overview.

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I'll join you in a few minutes to answer questions.

Maciej Kurzynski: Thank you, KR, and good afternoon, everyone. On today's call, I will discuss results of both the fourth quarter and the full year and also provide our full year 2026 guidance. Let me start by recognizing all of our employees at Bloom. Incredible execution in 2025. By calling out three highlights that the team drove this year. First, we achieved record financial results with several key metrics. I would like to highlight \$271.6 million in adjusted EBITDA proving just how much operating leverage there is in the business as we start to scale. Second, we were free cash flow positive for the second consecutive year. And third, our service business achieved approximately 20% non-GAAP gross margin for the first time.

None of that would be possible without the fantastic performance and dedication of the entire Bloom team. As a reminder, I will focus my discussion on non-GAAP adjusted financial metrics. For a reconciliation of GAAP to non-GAAP, please see our press release and the

supplemental deck on our website. Revenue for the quarter \$777.7 million up 35.9% year over year. On-site power continues to accelerate relative to the grid. And Bloom's ability to deploy our energy servers and power upsides in record time continue to highlight Bloom's value proposition and drive revenue growth. Gross margin was 31.9%, lower than the 39.3% gross margin in 2024.

Gross margin will continue to fluctuate given the mix of individual projects, in the quarter, but we will continue to manage this movement through product cost reduction efforts and operating expense efficiencies leading to a stronger EBITDA. Our operating income \$133 million versus \$133.4 million in Q4 last year. Adjusted EBITDA was \$146.1 million versus \$147.3 million in Q4 2024. Well, EPS was 45¢ versus 43¢ a year ago. Again, these are all non-GAAP results. Our product margins were 37% while our service margins were approximately 20%. This is the first straight quarter of double-digit margins in the service business, and while we will see some volatility in these results on a quarterly basis.

We expect to continue to see annual improvement. Our balance sheet is much stronger than a year ago. As we added significant cash for convertible bonds. We ended the quarter with \$2.5 billion in total cash on the balance sheet. Our inventory ended the year at \$643 million slightly higher than what we expected at the 2025. As we prepare for a strong 2026. Our cash flow from operating activities was an inflow of \$113.9 million while CapEx was \$57 million. Turning to the full year, revenue was a record \$2 billion. Up 37.3% from 2024. Non-GAAP gross margin of 30.3%, was up from 28.7% in 2024.

Non-GAAP operating profit of \$221 million up \$113.4 million from the previous year, on a revenue increase of \$550.1 million. Over 20.6% drop through to operating income. Non-GAAP gross profit in our service business was \$29.7 million a significant improvement from 2024, as I mentioned earlier. Service was profitable on a non-GAAP basis during every quarter of 2025. For the second consecutive year. Looking forward, we continue to expect to drive improvements in service profitability as we expand our installed base and scale. Before we get to guidance, I wanna talk a bit about our backlog. We see tremendous momentum in commercial engagement across both the data center market as well as C&I.

Our product backlog has more than doubled from a year ago, We also have approximately

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\$14 billion in service backlog. We have grown our backlog while maintaining healthy customer mix and do not have oversized concentration to any one customer. This brings us to guidance for 2026. While 2025 was a great year for Bloom, we expect 2026 to accelerate. We expect 2026 revenue to be \$3.1 billion to \$3.3 billion. Non-GAAP gross margin of approximately 32% and non-GAAP operating income of approximately \$125 million to \$475 million. We expect capital spending to be \$150 million to \$200 million. And cash flow from operations to be close to \$200 million.

We do expect to invest in our R&D roadmap and commercial efforts. As you can see from our operating income projections, we expect to capitalize on the significant operating leverage of the business to drive profit expansion. To conclude, Bloom's disciplined execution is delivering accelerated growth while maintaining sustainable profitability as we scale. We believe that we are rapidly becoming the standard for the on-site power generation market. And I could not be more excited about the opportunity in front of us. Operator, we are now happy to take questions. Thank you.

Desiree: We will now begin the question and answer session. If you have dialed in and would like to ask a question, please press 1 on your telephone keypad to raise your hand and join the queue. If you would like to withdraw your question, simply press 1 again. If you are called upon to ask your question and are listening via speakerphone in your device, pick up your handset to ensure that your phone is not on mute when asking your question. We do request for today's session, but you please limit to one and one follow-up question only. Thank you. And our first question comes from the line of David Arcaro with Morgan Stanley. Your line is open.

David Arcaro: Oh, hi. Thanks so much for taking my questions. I was wondering, could you speak to the follow-on opportunities at existing customers? I was curious how have the initial projects gone, and how seriously are some of those customers now considering follow-on orders with you?

KR Sridhar: Hi, David. Nice to hear from you. Yes. Look. That's a very important question you're asking. You build a strong company on the basis of happy customers. We have seen that from the day we started. We can tell you even in our commercial and industrial business,

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